

For example, from 2020 to 2021, Meta reported a rise in company revenue from \$28 billion to \$33 billion — that's a feat during a pandemic, right? Yet Meta shares plummeted by 20 per cent the same day. Why? Well, in their 2022 earning report they announced that TikTok, a newer social media platform, was now serious competition to Meta. Investors reacted to the potential future of the company, not to its current state.

Investor sentiment

This is the overall attitude investors have towards a particular company or market. You could describe it as the gut feeling investors have about the market.

When investors feel optimistic about the market, they're said to display a 'bullish market sentiment'. And when they feel pessimistic, they display a 'bearish market sentiment'.

A bull market is one when stock prices are rising, and investors feel good. Overall, people are encouraged and happy to invest. It's like love is in the air, but for stocks. A bull market is defined as a moment when the market is up 20 per cent after two drops of 20 per cent, and it's named after the upwards motions bulls make when they fight.

A bear market is the opposite. It feels depressing. Stocks are down. Morale is low. People are scared and less likely to invest. It occurs when the entire market is down 20 per cent for at least a two-month period. Prices drop quickly. It's named after the downward swiping of their paws when bears fight. (Look, I don't really see it either. Let's move on.)

The macro factors of market movements

One of the best ways to avoid feeling uneasy during market fluctuations is to understand why markets are behaving the way they are. There are macro and micro factors (such as tax and regulations) that can cause a market to act the way it does. The most important to consider are these four macro factors:

1. economic growth
2. unemployment